5-6e Closing Entries under the Periodic Inventory System

The closing entries differ in the periodic inventory system in that there is no cost of goods sold account to close. Instead, the purchases, purchases discounts, purchases returns and allowances, and freight in accounts are closed. In addition, the inventory account is adjusted to the end-of-period physical inventory count during the closing process. The estimated returns inventory account is also adjusted for the estimated returns from the current period's sales.

The two closing entries under the periodic inventory system are as follows:

1. a. Debit Inventory for its end-of-period balance based on the physical inventory.

   b. Debit Estimated Returns Inventory for the cost of the future estimated returns of the current period's sales.

   c. Debit each revenue account and the following temporary periodic inventory accounts for their balances.

      - Purchases Discounts
      - Purchases Returns and Allowances

   d. Credit Inventory for its balance as of the beginning of the period.

   e. Credit each expense account and the following temporary periodic inventory accounts for their balances.

      - Purchases
      - Freight In

   f. Credit the retained earnings account for the net income, or debit the retained earnings account for a net loss.

2. Debit the retained earnings account and credit the dividends account for its balance.

The two closing entries for NetSolutions under the periodic inventory system are shown in Exhibit 21.

Exhibit 21

Closing Entries for Periodic Inventory System

Journal					
Date		Item	Post. Ref.	Debit	Credit
		Closing Entries			
20Y8 Dec.	31	Inventory	115	62,150	
		Estimated Returns Inventory	116	5,000	
		Sales	410	708,255	
		Purchases Returns and Allowances	511	9,100	
		Purchases Discounts	512	2,525	
		Rent Revenue	610	600	
		Inventory	115		59,700
		Purchases	510		521,980
		Freight In	513		17,400
		Sales Salaries Expense	520		53,430
		Advertising Expense	521		10,860
		Depreciation Expense—Store Equipment	522		3,100
		Delivery Expense	523		2,800
		Miscellaneous Selling Expense	529		630
		Office Salaries Expense	530		21,020
		Rent Expense	531		8,100
		Depreciation Expense—Office Equipment	532		2,490
		Insurance Expense	533		1,910
		Office Supplies Expense	534		610
		Miscellaneous Administrative Expense	539		760
		Interest Expense	710		2,440
		Retained Earnings	311		80,400
	31	Retained Earnings	311	18,000	
		Dividends	312		18,000

In the first closing entry, Inventory is debited for $62,150. This is the ending physical inventory count on December 31, 20Y8. In addition, the cost of the estimated merchandise returns from 20Y8 sales is debited to Estimated Returns Inventory for $5,000. Inventory is credited for its January 1, 20Y8, balance of $59,700. In this way, the closing entries reflect the effects of the beginning and ending inventory in determining the cost of goods sold, as shown in Exhibit 20. After the closing entries are posted, Inventory will have a balance of $62,150 and Estimated Returns Inventory will have a balance of $5,300, which are the amounts reported on the December 31, 20Y8, balance sheet.

In Exhibit 21, the periodic inventory accounts are highlighted. Under the perpetual inventory system, the highlighted periodic inventory accounts are replaced by the cost of goods sold account.